

RYNO CROFT DIGITAL STUDIO

The Small Business Money Handbook

Financial statements, real pricing models, cash flow mastery, budgeting, debt and funding — the deep-dive money companion for South African entrepreneurs.

VOLUME 3 OF THE RYNO CROFT LEARNING SERIES

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The Small Business Money Handbook

Volume 3 - Ryno Croft Digital Studio Business Handbook Series

Before You Start Reading

Volume 1 of this series introduced the numbers every small business owner needs to understand - revenue, profit, cash flow, pricing, and basic record keeping. That was the foundation: enough to know whether your business is actually working.

This volume goes much deeper into the same subject. If Volume 1 taught you to check your pulse, this one teaches you to actually read the full chart - your financial statements, your pricing model, your cash flow forecasting, your budgeting, your options for funding and debt, and how to protect and grow the money your business generates.

Money is where most small businesses quietly succeed or fail - not because the owner isn't working hard enough, but because nobody ever taught them how to actually manage what comes in and goes out. This volume is that education.

How This Handbook Is Organised

This volume follows a natural progression: understanding your numbers properly, pricing for real profit, mastering cash flow, budgeting and planning, understanding debt and funding, and finally protecting and growing what you build.

Every chapter follows the same four questions as the rest of this series:

1. **What is this?** - explained simply, without jargon.
2. **Why does it matter?** - the real business consequence of getting it right or wrong.
3. **What should I actually do?** - practical, specific steps.
4. **What should I avoid?** - the mistakes we see most often.

Most chapters close with **Your Action Plan** - a short, specific exercise for the week you're reading it.

The Same System, Carried Over

DO THIS FIRST

DO THIS FIRST - High-priority. If you only have an hour this week, spend it here.

DO THIS NEXT

DO THIS NEXT - Important, but it can wait until the first-priority items are handled.

YOU CAN WAIT

YOU CAN WAIT - Genuinely useful, eventually. Not urgent. Do not let this distract you from what matters now.

An Important Note on Financial and Tax Advice

This volume goes deeper into financial statements, tax timing, debt, and funding than either previous volume. That makes this note more important than ever: **Ryno Croft Digital Studio is not an accounting firm, tax practice, or licensed financial advisor.**

Financial and tax rules change, interact with your specific circumstances, and carry real consequences if you get them wrong. Wherever a decision depends on your specific numbers, structure, or risk tolerance, we will tell you what to consider and who to consult - not make the decision for you. Look for this box:

CHECK BEFORE YOU ACT

CHECK BEFORE YOU ACT - Confirm current tax rules, thresholds, and requirements with SARS or a registered tax practitioner. Get financial or lending advice from a qualified accountant or financial advisor before committing significant money.

Treat every number, threshold, and process in this volume as a framework for your own thinking - not a substitute for professional advice on your specific situation.

Where This Volume Fits

Like Volume 2, this volume sits in the paid tier of the Ryno Croft Learning Series - free Volume 1 gives you the foundation; this one gives you the depth. You are paying for a properly structured, practical resource that goes far beyond what any free handbook reasonably could - not for access to Ryno Croft Digital Studio's other services. Nothing in this volume points you toward hiring anyone. It is built to be worked through and applied on your own.

Let's get into your numbers.

PART ONE - UNDERSTANDING YOUR NUMBERS PROPERLY

Volume 1 introduced revenue, profit, and cash flow. Part One goes further: the three financial statements that, together, tell you almost everything about your business's financial health - and the ratios that turn those statements into real decisions.

Chapter 1 - The Three Financial Statements Every Small Business Needs

What is this?

Three documents that, together, give a complete financial picture of a business: the income statement (profit over a period), the balance sheet (what you own and owe at a point in time), and the cash flow statement (how cash actually moved in and out).

Why does it matter?

Most small business owners keep some version of an income statement (even informally) but rarely look at a balance sheet or a proper cash flow statement. That's like judging your health from only one vital sign - you're missing most of the picture.

What should I actually do?

DO THIS FIRST

If you don't currently produce a balance sheet or cash flow statement, ask your bookkeeper or accounting software to generate both for your last completed month. Even a rough version teaches you something.

- **Income statement** - revenue, costs, and profit over a period (a month, quarter, or year).
- **Balance sheet** - a snapshot of what the business owns (assets), owes (liabilities), and what's left over (equity), on a specific date.
- **Cash flow statement** - the actual movement of cash, separate from the accounting profit shown on the income statement.

SOUTH AFRICAN REALITY

Many small South African businesses only produce these statements once a year, for tax purposes, prepared by an accountant after the fact. That's compliant, but it means the owner is making decisions all year without the information these statements would provide.

What should I avoid?

COMMON MISTAKE

Treating the income statement as the only number that matters. A business can show a profit on the income statement and still be in serious cash trouble, or hold assets on the balance sheet that are quietly losing value.

Your Action Plan

YOUR ACTION PLAN

- ☐ Get your most recent income statement, balance sheet, and cash flow statement (or ask your bookkeeper to produce them).
- ☐ Read all three, even if not every line makes sense yet.
- ☐ Set a recurring monthly or quarterly habit of reviewing all three together.

Chapter 2 - Reading Your Income Statement Like an Owner

What is this?

The skill of reading an income statement not as an accounting document, but as a story about how your business actually makes (or loses) money - line by line.

Why does it matter?

An income statement full of numbers means little without knowing which lines actually drive your profit, and which are quietly eating it.

What should I actually do?

Work through your income statement asking:

- **Revenue trend** - is it growing, flat, or shrinking over the last several periods?
- **Gross margin** - what percentage of revenue is left after direct costs? Is it stable, improving, or slipping?
- **Largest expense lines** - which few expense categories make up most of your costs?
- **Net margin** - what percentage of revenue actually becomes profit?

DO THIS FIRST

Calculate your gross margin and net margin percentage for your last three months, and compare them. A shrinking margin, even with growing revenue, is a warning sign worth investigating immediately.

What should I avoid?

COMMON MISTAKE

Focusing only on the bottom-line profit number without understanding which lines above it are actually driving the result. Two businesses can show identical profit with completely different, and differently risky, cost structures.

Your Action Plan

YOUR ACTION PLAN

- ☐ Calculate gross and net margin for the last three months.
- ☐ Identify your three largest expense categories.
- ☐ For each, ask honestly: is this cost still earning its place?

Chapter 3 - Understanding Your Balance Sheet

What is this?

A snapshot, on a specific date, of what your business owns (assets), what it owes (liabilities), and what's left for the owner (equity) - the accounting identity: assets equal liabilities plus equity.

Why does it matter?

The balance sheet reveals things the income statement can't: how much debt you're carrying, how much cash and stock you're sitting on, and whether the business's underlying financial position is strengthening or weakening over time.

What should I actually do?

Understand the main categories:

- **Assets** - cash, money owed to you by customers (debtors), stock/inventory, equipment, and property.
- **Liabilities** - money you owe: supplier accounts (creditors), loans, and tax owing.
- **Equity** - what's left over for the owner once liabilities are subtracted from assets - your actual stake in the business.

DO THIS FIRST

Compare your balance sheet to the same period a year ago (or your opening balance sheet, if the business is newer). Is equity growing? Is debt growing faster than assets?

SOUTH AFRICAN REALITY

A growing business often shows increasing debtors (customers who owe you money) and stock. That's not automatically bad, but if debtors and stock are growing faster than cash, it can signal a cash flow squeeze forming even while the business looks like it's growing.

What should I avoid?

Avoid ignoring the balance sheet simply because it feels more technical than the income statement. A single conversation with your accountant asking them to walk you through your own balance sheet is usually enough to make it click.

Your Action Plan

YOUR ACTION PLAN

- ☐ Get your current balance sheet and compare it to a year ago.
- ☐ Note the trend in debtors, stock, and debt.
- ☐ Ask your accountant or bookkeeper to walk you through it if anything is unclear.

Chapter 4 - The Key Ratios That Actually Matter for a Small Business

What is this?

A small number of calculated ratios, drawn from your financial statements, that summarise financial health faster than reading every line individually.

Why does it matter?

Ratios let you compare your own business over time, and catch deteriorating trends early - often before they show up as an obvious cash crisis.

What should I actually do?

Track a small, useful set:

- **Gross margin %** - gross profit divided by revenue.
- **Net margin %** - net profit divided by revenue.
- **Current ratio** - current assets divided by current liabilities; a rough measure of your ability to cover short-term obligations.
- **Debtor days** - roughly how many days, on average, it takes customers to pay you.
- **Break-even point** - the revenue level at which you stop losing money (covered fully in Chapter 6).

DO THIS NEXT

Calculate this small set of ratios monthly or quarterly, and track them over time in a simple spreadsheet - the trend matters more than any single number.

What should I avoid?

COMMON MISTAKE

Trying to track twenty different financial ratios and abandoning the habit within a month because it's overwhelming. Five tracked consistently beats twenty tracked once.

Your Action Plan

YOUR ACTION PLAN

- ☐ Calculate the five ratios above for your most recent period.
 - ☐ Set up a simple spreadsheet to track them going forward.
 - ☐ Review the trend, not just the current number, each time you update it.
-

PART TWO - PRICING FOR PROFIT

Volume 1 introduced pricing basics. Part Two builds a genuine pricing model - one that accounts for your real costs, your break-even point, and how to raise prices without losing the customers you value.

Chapter 5 - Building a Real Pricing Model

What is this?

A structured approach to pricing that combines your true costs, the value delivered, and market realities - rather than a single number picked based on gut feel or a competitor's rate card.

Why does it matter?

A pricing model you can defend and adjust deliberately protects your margin as costs change, and gives you the confidence to hold your price when a customer pushes back.

What should I actually do?

- **Cost-plus pricing** - calculate your true cost per unit or hour (including your own time and overheads), then add your required margin.
- **Value-based pricing** - price closer to the outcome or relief the customer receives, when that value is significantly higher than your cost.
- **Hybrid pricing** - use cost-plus as your floor (never price below it) and value-based thinking to decide how far above that floor you can reasonably go.

DO THIS FIRST

Calculate your true cost-plus floor price for your main offer - the absolute minimum you can charge and still hit your required margin. Never knowingly price below this, even under pressure.

What should I avoid?

COMMON MISTAKE

Setting your floor price without including your own time, or without a proper share of fixed overheads (rent, software, insurance) allocated across what you sell.

Your Action Plan

YOUR ACTION PLAN

- ☐ Calculate your true cost-plus floor price for your main offer, including your time and a fair share of overheads.
- ☐ Decide, separately, your value-based ceiling - what the outcome is genuinely worth to the customer.
- ☐ Set your actual price somewhere between the two, deliberately, not by default.

Chapter 6 - Break-Even Analysis in Practice

What is this?

The specific calculation of how much you need to sell - in units or revenue - before you cover all your costs and start making an actual profit.

Why does it matter?

Many small business owners can tell you their revenue target in vague terms ("I need a good month") but can't say precisely how much they need to sell just to stop losing money. Break-even removes the guesswork.

What should I actually do?

DO THIS FIRST

Calculate your break-even point: fixed costs divided by your contribution margin (price minus variable cost per unit). This tells you exactly how many units, or how much revenue, you need before you're in profit.

- **Fixed costs** - costs that don't change with volume (rent, salaries, software subscriptions).
- **Variable costs** - costs that scale with each sale (materials, direct labour, transaction fees).
- **Contribution margin** - what's left from each sale after variable costs, available to cover fixed costs and then profit.

DO THIS NEXT

Recalculate your break-even point whenever a major cost changes - a rent increase, a new hire, or a significant price change all shift it.

What should I avoid?

Avoid confusing your break-even point with a profit target. Break-even is the minimum to survive, not the goal to aim for.

Your Action Plan

YOUR ACTION PLAN

- ☐ Calculate your current fixed costs and variable cost per unit.
- ☐ Calculate your break-even point in both units and revenue.
- ☐ Compare your actual recent performance against it.

Chapter 7 - Pricing for Different Business Models

What is this?

Recognising that products, services, and subscriptions each have different pricing dynamics, and adjusting your approach accordingly rather than applying one formula everywhere.

Why does it matter?

A pricing mistake that's minor for a once-off product sale can compound badly in a subscription model, where an underpriced offer loses money every single month it renews.

What should I actually do?

- **Products** - factor in materials, production time, packaging, and shipping; watch margin closely as volume changes.
- **Services** - price your time realistically, factoring in unbilled hours (admin, quoting, travel) that eat into your effective hourly rate.
- **Subscriptions/retainers** - model the full customer lifetime, not just the first month; a slightly higher price sustained over time usually beats an aggressive introductory price that undercuts your margin for months.

SOUTH AFRICAN REALITY

Rand volatility and import-cost exposure can hit product-based businesses particularly hard if pricing isn't reviewed regularly. If you import materials or stock, build a buffer into your pricing for currency movement.

What should I avoid?

COMMON MISTAKE

Pricing a subscription or retainer based only on the first month's effort, without accounting for the ongoing time and cost required to keep delivering it every month after.

Your Action Plan

YOUR ACTION PLAN

- ☐ Identify which model(s) your business uses (product, service, subscription).
- ☐ Recalculate your pricing accounting for the specific risks of that model.
- ☐ If you import materials, build a currency buffer into your pricing.

Chapter 8 - Raising Prices Without Losing Customers

What is this?

The practical approach to increasing prices - a necessary, recurring business decision - without triggering mass cancellations or ill will.

Why does it matter?

Many small business owners delay price increases far too long out of fear of losing customers, quietly eroding their margin against rising costs every year they wait.

What should I actually do?

DO THIS FIRST

Review your pricing at least once a year, deliberately - don't wait for a crisis to force the decision.

- **Communicate clearly and early** - give existing customers advance notice, framed honestly (rising costs, added value, market rates).
- **Grandfather thoughtfully** - consider whether long-standing, valuable customers deserve a smaller increase or a delay, without making this the default for everyone.
- **Bundle value with the increase** - where possible, pair a price increase with a genuine improvement, even a small one.
- **Hold your ground** - a well-communicated, fair increase will lose you a small number of price-sensitive customers; that's usually a healthy trade for a sustainable margin.

What should I avoid?

COMMON MISTAKE

Raising prices silently and letting customers discover it on their next invoice. Even a fair increase feels like a betrayal of trust when it isn't communicated in advance.

Your Action Plan

YOUR ACTION PLAN

- ☐ Decide your next price review date if you don't already have one.
- ☐ Draft a clear, honest price-increase communication template.
- ☐ Identify any customers who may need individual, direct communication rather than a mass email.

GO DEEPER

Customer communication and retention through pricing changes is covered further in Volume 4: The Customer & Sales Handbook.

PART THREE - CASH FLOW MASTERY

Volume 1 introduced the difference between profit and cash flow. Part Three builds the actual tools: a rolling forecast, seasonal planning, and faster collections.

Chapter 9 - Building a Rolling Cash Flow Forecast

What is this?

A cash flow forecast that's continuously updated - typically 13 weeks or 3 months ahead - rather than a one-time exercise done and forgotten.

Why does it matter?

A forecast built once loses accuracy fast. A rolling forecast, updated weekly or monthly, stays useful because it reflects what's actually happening in the business right now.

What should I actually do?

DO THIS FIRST

Build a simple rolling forecast: expected cash in, expected cash out, and the running balance, updated at least monthly (weekly if cash is tight).

- **Cash in** - confirmed invoices due, expected new sales, and any other income.
- **Cash out** - known fixed costs, expected variable costs, loan repayments, and tax due dates.
- **Running balance** - the projected bank balance at each point, so you can see problems coming weeks in advance.

DO THIS NEXT

Build in a realistic "worst case" version alongside your expected case - what happens if your two largest customers pay two weeks late simultaneously?

What should I avoid?

Avoid building a forecast once and never updating it - a stale forecast gives false confidence, which is arguably worse than no forecast at all.

Your Action Plan

YOUR ACTION PLAN

- ☐ Build a rolling cash flow forecast for the next three months.
- ☐ Add a worst-case scenario alongside your expected case.
- ☐ Set a recurring time to update it.

Chapter 10 - Managing Seasonal and Irregular Cash Flow

What is this?

Deliberately planning for predictable ups and downs in revenue across the year - seasonal demand, annual costs, and industry-specific cycles - rather than being surprised by them every time.

Why does it matter?

Many small businesses experience genuinely predictable slow periods, yet still get caught short every single time because the good months' cash wasn't set aside for the lean ones.

What should I actually do?

- **Map your own cycle** - identify your historically strongest and weakest months, if you have at least a year of data.
- **Build a seasonal reserve** - set aside a portion of strong-month profit specifically to smooth out predictable slow periods.
- **Plan large annual costs ahead** - insurance renewals, annual software fees, and bonuses should be forecast months in advance, not discovered when the invoice arrives.

DO THIS FIRST

If your business has a predictable slow season, calculate roughly how much extra cash you need to get through it, and start setting aside a fixed percentage of revenue during strong months specifically for that purpose.

What should I avoid?

COMMON MISTAKE

Treating every strong month as "extra" money to reinvest or spend immediately, without setting anything aside for the predictable slow period that follows.

Your Action Plan

YOUR ACTION PLAN

- ☐ Map your revenue by month for the last year (or estimate, if newer).
- ☐ Identify your slowest one or two months.
- ☐ Start setting aside a fixed percentage of income during strong months to smooth the gap.

Chapter 11 - Getting Paid Faster: Terms, Deposits and Collections

What is this?

The deliberate practices that shorten the time between doing the work and having the money in your account: clear terms, upfront deposits, and a consistent collections process.

Why does it matter?

Slow-paying customers are one of the most common, avoidable causes of cash flow stress - and the fix is usually process, not new customers.

What should I actually do?

DO THIS FIRST

Set clear, written payment terms for every sale - due date, accepted methods, and any late payment consequences - and apply them consistently, not just to customers you're unsure about.

- **Deposits upfront** - for larger jobs, a deposit reduces your risk and improves your cash position immediately.
- **Invoice promptly** - send the invoice the moment work is delivered, not days or weeks later.
- **Follow up systematically** - a simple, consistent reminder schedule (a few days before due, on the due date, and shortly after) recovers far more late payments than sporadic follow-up.
- **Consider early-payment incentives** - a small discount for fast payment can be worth it if cash flow is tight.

COMMON MISTAKE

Feeling awkward about following up on a late payment and letting it slide for weeks. A polite, professional reminder is completely normal business practice - the money is already earned, not a favour being requested.

Your Action Plan

YOUR ACTION PLAN

- ☐ Write down your standard payment terms and apply them to every new sale.
- ☐ Set a specific deposit percentage for larger jobs.
- ☐ Build a simple, consistent follow-up schedule for overdue invoices.

Chapter 12 - Managing Supplier Payments and Terms

What is this?

The other side of cash flow: how and when you pay the people and businesses you owe, managed just as deliberately as how you collect from customers.

Why does it matter?

Paying suppliers too early can unnecessarily strain your cash position; paying too late damages relationships and can lose you favourable terms or priority when you need them most.

What should I actually do?

- **Negotiate terms upfront** - many suppliers will offer 30-day (or similar) terms if you simply ask, rather than assuming cash-on-delivery is the only option.
- **Time payments deliberately** - pay on the due date, not automatically early, to keep cash available as long as reasonably possible.
- **Maintain relationships** - suppliers who trust you're a reliable payer are more likely to extend flexibility if you occasionally need it.

DO THIS NEXT

Review your supplier terms annually - as your business grows and your payment history improves, better terms are often available if you ask.

What should I avoid?

Avoid habitually paying suppliers late without communication - a supplier who feels ignored is far less likely to extend grace than one who's kept informed.

Your Action Plan

YOUR ACTION PLAN

- ☐ List your key suppliers and their current payment terms.
- ☐ Identify any where better terms might be negotiable.
- ☐ Build supplier payment dates into your cash flow forecast (Chapter 9).

PART FOUR - BUDGETING & FINANCIAL PLANNING

A budget isn't a restriction - it's a decision made in advance, rather than under pressure. Part Four builds a real, usable budgeting habit.

Chapter 13 - Building Your First Real Budget

What is this?

A forward-looking plan for expected income and expenses over a set period (typically a year, broken into months) - different from a forecast, which tracks what's actually happening, though the two work closely together.

Why does it matter?

Without a budget, spending decisions get made in isolation, one at a time, without reference to the full financial picture - which is how small, individually reasonable decisions add up to an unpleasant surprise at year-end.

What should I actually do?

DO THIS FIRST

Build a simple 12-month budget: expected revenue by month, expected fixed costs, expected variable costs, and expected profit - using last year's actuals as a starting point if available.

- **Start with fixed costs** - these are the most predictable and should be budgeted first.
- **Estimate variable costs** - as a percentage of expected revenue, based on historical patterns.
- **Set a revenue target** - realistic, not aspirational, based on your actual pipeline and historical trends.
- **Review monthly** - compare actual results to budget, and understand any significant variance.

What should I avoid?

COMMON MISTAKE

Building a budget once a year and never comparing actual results against it. The value of a budget comes almost entirely from the ongoing comparison, not the initial document.

Your Action Plan

YOUR ACTION PLAN

- ☐ Build a simple 12-month budget using last year's numbers as a base.
- ☐ Set a monthly reminder to compare actuals against budget.
- ☐ Adjust the remaining months if a significant variance appears early.

Chapter 14 - Budgeting for Irregular and One-Off Costs

What is this?

Specifically planning for the costs that don't happen every month but are entirely predictable in advance - annual renewals, equipment replacement, once-off compliance costs, and similar.

Why does it matter?

These costs feel like "surprises" purely because they weren't planned for, even though most of them were entirely foreseeable months in advance.

What should I actually do?

DO THIS FIRST

List every cost your business incurs less often than monthly - insurance renewals, licence renewals, equipment replacement, annual subscriptions - with expected amounts and dates.

DO THIS NEXT

Divide each annual cost by twelve and set that amount aside monthly in a separate reserve, so the actual payment date doesn't create a cash flow shock.

What should I avoid?

Avoid treating irregular costs as unbudgeted "extras" that get funded from whatever cash happens to be available when they're due.

Your Action Plan

YOUR ACTION PLAN

- ☐ List all irregular and annual costs with amounts and dates.
- ☐ Calculate the monthly equivalent for each.
- ☐ Set aside that amount monthly in a dedicated reserve.

Chapter 15 - Setting Financial Targets That Mean Something

What is this?

Specific, measurable financial goals - beyond a vague wish to "grow" - tied to your actual numbers and reviewed on a set schedule.

Why does it matter?

Vague goals produce vague effort. A specific target ("increase net margin from 12% to 16% this year by reducing X cost and adjusting pricing on Y") is something you can actually plan around and measure.

What should I actually do?

Set targets across a small number of areas:

- **Revenue** - a specific, realistic figure for the period, broken into monthly milestones.
- **Margin** - a specific gross or net margin percentage target, not just "more profit."
- **Cash reserve** - a specific reserve target (see Chapter 16).
- **Debtor days** - a specific target for how quickly customers should be paying you.

DO THIS FIRST

Set one specific, measurable financial target for the next quarter, with a clear plan for how you'll actually achieve it - not just a number you hope happens.

What should I avoid?

COMMON MISTAKE

Setting a revenue target with no corresponding plan for margin or cash flow. Revenue growth without a plan for the rest of the picture often just creates a bigger, more stressful, less profitable business.

Your Action Plan

YOUR ACTION PLAN

- ☐ Set one specific target each for revenue, margin, and cash reserve.
- ☐ Write down the specific actions that will get you there.
- ☐ Review progress monthly.

Chapter 16 - Building a Cash Reserve

What is this?

A deliberately maintained buffer of cash, separate from day-to-day operating funds, set aside to absorb slow months, unexpected costs, or opportunities - without relying on debt or panic.

Why does it matter?

Businesses without any reserve are one bad month away from a genuine crisis. A reserve turns a bad month into an inconvenience instead of an emergency.

What should I actually do?

DO THIS FIRST

Set a specific cash reserve target - commonly, one to three months of fixed operating costs is a reasonable starting goal for a small business - and start contributing to it, even a small amount, every month.

- **Keep it separate** - a dedicated savings or reserve account, not mixed with your operating account, reduces the temptation to dip into it casually.
- **Automate contributions** - a fixed transfer on a set date is far more reliable than "whatever's left over."
- **Define what it's for** - genuine emergencies and clear opportunities, not routine expenses that should already be budgeted.

What should I avoid?

COMMON MISTAKE

Treating the cash reserve as available for any spending decision that feels justified in the moment. A reserve that gets used routinely isn't actually a reserve.

Your Action Plan

YOUR ACTION PLAN

- ☐ Set your specific cash reserve target.
- ☐ Open a separate account for it if you haven't already.
- ☐ Set up an automatic monthly contribution, even if small to start.

GO DEEPER

Volume 8: The Small Business Systems Handbook covers the broader financial and operational systems that support long-term stability.

PART FIVE - DEBT, FUNDING & CAPITAL

Debt and outside funding are tools, not solutions on their own. Part Five is about understanding them clearly enough to use them well - or to confidently decide not to.

Chapter 17 - Understanding Business Debt: Good Debt vs Bad Debt

What is this?

A framework for evaluating debt honestly: whether it's funding something that will generate more value than it costs (generally reasonable) or simply covering an ongoing shortfall (generally a warning sign).

Why does it matter?

Not all debt is equally risky, but many small business owners treat all debt with either blanket fear or blanket comfort, rather than evaluating each specific case.

What should I actually do?

Ask, for any debt under consideration:

- **What is it funding?** - equipment or growth that will generate returns, or a gap in day-to-day cash flow?
- **Can it be repaid comfortably from expected cash flow**, even in a slower-than-expected scenario?
- **What's the full cost** - interest rate, fees, and total repayment - not just the monthly instalment?
- **What's the consequence of default** - personal guarantees, asset repossession, or other exposure?

SOUTH AFRICAN REALITY

Relying on revolving debt (like a credit card or overdraft) to cover recurring operating shortfalls, rather than as a genuine short-term buffer, is one of the more common ways small South African businesses slide into serious financial trouble.

CHECK BEFORE YOU ACT

Have any loan or financing agreement reviewed by an accountant or, for significant amounts, an attorney, before signing - particularly regarding personal guarantees and default consequences.

What should I avoid?

COMMON MISTAKE

Taking on debt to fund an ongoing operating shortfall without first addressing the underlying cause. Debt buys time, not a solution - if the underlying problem isn't fixed, the debt just delays and often worsens the eventual reckoning.

Your Action Plan

YOUR ACTION PLAN

- ☐ For any current or considered debt, answer the four questions above honestly.
- ☐ Identify whether it's funding growth or covering a shortfall.
- ☐ If it's covering a shortfall, address the underlying cause directly (see Parts Two and Three).

Chapter 18 - Funding Options for South African Small Businesses

What is this?

An overview of the general categories of funding available to small businesses in South Africa - not an exhaustive list of every scheme, but enough to know what to research further.

Why does it matter?

Many small business owners default to whichever funding option they've heard of first, without knowing what else exists or which is genuinely best suited to their situation.

What should I actually do?

Broad categories worth understanding:

- **Traditional bank finance** - business loans, overdrafts, and asset finance through commercial banks.
- **Government and development finance institutions** - various South African funds and agencies support small business finance, often with sector or demographic-specific criteria.
- **Private investors** - equity funding in exchange for a share of ownership, more relevant for higher-growth businesses.
- **Alternative and fintech lenders** - increasingly common, often faster but sometimes more expensive than traditional bank finance.
- **Bootstrapping and retained earnings** - funding growth from the business's own profits rather than external finance.

CHECK BEFORE YOU ACT

Confirm current eligibility criteria, application processes, and costs for any specific funding option directly with the relevant institution, as these change regularly and vary significantly by business type and size.

What should I avoid?

Avoid pursuing equity funding (giving away ownership) for financing needs that a well-structured loan could reasonably cover - the cost of equity, in control given up, is often far higher than it first appears.

Your Action Plan

YOUR ACTION PLAN

- ☐ List the funding categories genuinely relevant to your business and stage.
- ☐ Research the specific options and criteria within your top one or two categories.
- ☐ Compare the full cost (not just the headline rate) before deciding.

Chapter 19 - Preparing to Approach a Lender or Investor

What is this?

The practical preparation that significantly improves your chances of securing funding - having your numbers, plan, and documentation genuinely ready before you ask.

Why does it matter?

Funding applications are frequently declined not because the business is unfundable, but because the owner couldn't clearly answer basic financial questions on the spot.

What should I actually do?

DO THIS FIRST

Before approaching any lender or investor, make sure you can clearly present: your last 12 months of financial statements, a realistic forecast for the next 12 months, exactly how much you need and what for, and how you'll repay or what return you're offering.

- **Clean, current records** - up-to-date bookkeeping is often the single biggest factor in how quickly and favourably an application is assessed.
- **A clear, specific ask** - "I need funding" is far weaker than "I need R150,000 for equipment that will increase capacity by X."
- **A realistic repayment or return plan** - grounded in your actual numbers, not optimistic projections.

What should I avoid?

COMMON MISTAKE

Approaching a lender or investor with outdated, incomplete, or inconsistent financial records. It signals risk before a single number is even discussed.

Your Action Plan

YOUR ACTION PLAN

- ☐ Get your financial records fully up to date before any funding conversation.
- ☐ Prepare a clear, specific statement of how much you need and exactly what for.
- ☐ Build a realistic repayment or return plan based on your actual forecast.

Chapter 20 - Managing Debt Responsibly

What is this?

The ongoing discipline of managing existing debt deliberately - tracking it, prioritising repayment sensibly, and avoiding the slide into unmanageable debt.

Why does it matter?

Debt that's actively managed is a tool. Debt that's ignored until it becomes a problem is a genuine threat to the business's survival.

What should I actually do?

DO THIS FIRST

List every debt your business carries - amount, interest rate, monthly payment, and remaining term - in one place. Many business owners have never seen this full picture assembled together.

- **Prioritise by cost** - generally, pay down the highest-interest debt fastest, once minimum payments on everything else are covered.
- **Avoid stacking new debt on old** - taking on new debt to service existing debt is a warning sign that requires an honest, possibly uncomfortable, review of the business's finances.
- **Communicate early with lenders** - if a repayment genuinely can't be met, contact the lender before missing it, not after.

What should I avoid?

COMMON MISTAKE

Avoiding contact with a lender when a repayment is at risk, out of embarrassment. Lenders generally have far more flexibility for a business that communicates early than one that simply misses a payment silently.

Your Action Plan

YOUR ACTION PLAN

- ☐ List all business debt in one place with full details.
 - ☐ Identify your highest-cost debt and prioritise it for faster repayment.
 - ☐ If any repayment is at risk, contact the lender proactively.
-

PART SIX - PROTECTING & GROWING YOUR MONEY

The final part is about the ongoing habits that protect what you've built: working with professionals properly, planning for tax throughout the year, preparing for downturns, and turning profit into lasting financial health.

Chapter 21 - Working With an Accountant or Bookkeeper Properly

What is this?

Getting genuine value from a financial professional relationship - beyond a once-a-year, purely compliance-driven conversation at tax time.

Why does it matter?

Many small business owners only speak to their accountant once a year, missing out on planning and advice that could meaningfully improve their financial position throughout the year.

What should I actually do?

DO THIS NEXT

Schedule at least a quarterly check-in with your accountant or bookkeeper - not just at year-end - to review your numbers and discuss any decisions on the horizon.

- **Be clear about what you need** - compliance only, or ongoing advisory support too; not every accountant offers both.
- **Bring questions, not just documents** - ask about your margins, your tax position, and upcoming decisions, not just "here are my receipts."
- **Understand the cost-value trade-off** - a slightly more expensive accountant who proactively advises you can be far better value than a cheaper one who only files returns.

What should I avoid?

Avoid treating your accountant purely as a once-a-year compliance cost rather than an ongoing resource you're already paying for in some form.

Your Action Plan

YOUR ACTION PLAN

- ☐ Schedule a check-in with your accountant or bookkeeper beyond just tax season.
- ☐ Prepare three specific questions about your numbers before the meeting.
- ☐ Clarify what services they currently provide versus what you might need.

Chapter 22 - Tax Planning Throughout the Year

What is this?

Legitimately planning for tax obligations continuously through the year - timing, provisions, and record keeping - rather than scrambling at the filing deadline.

Why does it matter?

Tax surprises are almost always a planning failure, not a tax failure. The obligation was foreseeable; the business just wasn't prepared for it in cash flow terms.

What should I actually do?

DO THIS FIRST

Set aside a portion of every payment received specifically for tax, in a separate account, rather than treating tax as something paid entirely from whatever cash is available when it's due.

- **Know your key dates** - provisional tax deadlines, annual filing deadlines, and VAT periods, if applicable.
- **Keep records current** - the record-keeping habits from Volume 1, Chapter 8 and Volume 2, Chapter 14 make tax time dramatically less stressful.
- **Review your tax category periodically** - as your turnover changes, your optimal tax category (Volume 2, Chapter 12) may change too.

CHECK BEFORE YOU ACT

Confirm your current provisional tax obligations, deadlines, and any category changes directly with SARS or a registered tax practitioner, as these are specific to your registration type and turnover.

What should I avoid?

COMMON MISTAKE

Treating tax owing as a surprise expense rather than a predictable, plannable obligation that should be provisioned for continuously throughout the year.

Your Action Plan

YOUR ACTION PLAN

- ☐ Set up a dedicated tax savings account and start setting aside a fixed percentage of income.
- ☐ Confirm your key tax dates for the year.
- ☐ Review your tax category against your current turnover.

Chapter 23 - Preparing for a Downturn

What is this?

Deliberately planning, while things are going well, for the possibility of a slow period, a lost major client, or a broader economic downturn - rather than reacting only once it's already underway.

Why does it matter?

Businesses that survive downturns well are usually the ones that had already thought through the scenario, not the ones caught completely by surprise.

What should I actually do?

- **Know your minimum viable revenue** - the level below which serious action would be needed, calculated in advance, not figured out under pressure.
- **Identify flexible costs** - which expenses could genuinely be reduced quickly if needed, without permanently damaging the business?
- **Maintain your cash reserve** - Chapter 16's reserve exists specifically for this scenario.
- **Diversify where sensible** - overreliance on a single large client or narrow revenue stream increases downturn risk.

DO THIS FIRST

Calculate your minimum viable monthly revenue - the level that still covers essential fixed costs - and identify, in advance, which three costs you'd cut first if revenue dropped significantly.

What should I avoid?

COMMON MISTAKE

Only thinking about downturn planning once you're already in one, when options are more limited and decisions are made under far more stress.

Your Action Plan

YOUR ACTION PLAN

- ☐ Calculate your minimum viable monthly revenue.
- ☐ Identify your top three flexible costs in advance.
- ☐ Confirm your cash reserve is adequate for at least a short downturn.

Chapter 24 - Turning Profit Into Long-Term Financial Health

What is this?

The final, broader view of what profit is actually for: not just a number to celebrate each month, but the raw material for reserves, reinvestment, debt reduction, and the owner's own long-term financial security.

Why does it matter?

A business can be profitable for years and still leave its owner with very little to show for it, if profit is never deliberately directed anywhere beyond day-to-day spending.

What should I actually do?

Decide, deliberately, where profit goes:

- **Cash reserve** - until your target (Chapter 16) is met.
- **Debt reduction** - particularly higher-cost debt (Chapter 20).
- **Reinvestment** - equipment, systems, or capacity that will generate further returns.
- **Owner's long-term financial position** - retirement savings, personal financial planning, and building wealth outside the business itself, so the business isn't your only asset.

DO THIS FIRST

Decide a simple, deliberate allocation for future profit - for example, a fixed percentage split between reserve, debt reduction, reinvestment, and your own long-term savings - rather than leaving it undecided until it's simply spent.

What should I avoid?

COMMON MISTAKE

Treating the business as your only long-term financial plan. A business can be sold, can decline, or can simply stop - personal financial security built entirely inside the business carries real risk.

Your Action Plan

YOUR ACTION PLAN

- ☐ Decide your deliberate profit allocation split.
 - ☐ Apply it to your next profitable month.
 - ☐ Review your own long-term financial position separately from the business at least once a year.
-

What's Next

You've now gone deep into the money side of running a South African small business - your financial statements, real pricing models, cash flow mastery, budgeting, debt and funding, and protecting what you build.

Combined with Volumes 1 and 2, you now have the foundation, the launch mechanics, and the financial depth to run a genuinely well-managed business. Go back through this volume's Action Plans, pick the two or three most relevant to your current situation, and start there.

The Ryno Croft Learning Series

This handbook is Volume 3 of an ongoing series. Future volumes go deeper into single topics:

- **Volume 1** - A Practical Guide to Starting and Running a Small Business in South Africa
- **Volume 2** - Starting Your South African Business Properly
- **Volume 4** - The Customer & Sales Handbook
- **Volume 5** - The Practical Marketing Handbook
- **Volume 6** - The Digital Visibility Handbook
- **Volume 7** - The Email Marketing Handbook
- **Volume 8** - The Small Business Systems Handbook
- **Volume 9** - The 90-Day Growth Handbook

Thank you for reading. Now go and put it to work.

— Ryno Croft Digital Studio